FRANKLIN CRYPTO RESEARCH COMPETITION

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A Narrative Bid, Not an Earned Valuation

A metrics driven short thesis on Zcash (ZEC), the top ten asset its own fundamentals do not support.

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Price and fundamentals as of early November 2026. Primary data from Blockworks Research and Allium, the competition research tools, with the Blockworks Zcash Token Holder Report, Messari, and ZecStats. Independent student research. Not investment advice.

1 Executive Summary

We recommend a short position in Zcash (ZEC) at about $1,280, a market capitalization near $21.5B and the tenth largest crypto asset. Over a 6 to 12 month horizon we see a base case near $650 (about 49% downside) and a deeper case near $450 (about 65% downside), against a squeeze case near $2,000 that we size for openly. This is a contrarian call into strength, and we treat it as one.

$21.5B	3.3×	2×	29%
MARKET CAP, RANK 10	MVRV, HOLDERS UP 240%	MONERO'S CAP, LESS USAGE	OF SUPPLY EVER SHIELDED

Our angle is a fundamentals angle, in the language this panel uses, and it is not built on regulation. We argue that on every metric that defines value accrual, ZEC has not earned a top ten valuation. The most credible version of this view came from inside the industry: F2Pool cofounder Chun Wang called the move a narrative bid and challenged the comparison between Zcash and networks like Solana and Hyperliquid that actually generate economic value.

> *A big market cap does not mean a coin earned its place.*
>
> CHUN WANG, COFOUNDER OF F2POOL

He is right. The price is a monetary premium placed on a privacy in the age of AI story, popularized in a Grayscale report, and that story produces no revenue, little real usage, and a valuation detached from any onchain throughput. The demand underneath it is financial, not organic: the rise was mechanically amplified by more than $62 million of short liquidations in a single May session, and the largest marginal buyer is a MicroStrategy style treasury vehicle, Cypherpunk Technologies, holding about 1.9% of supply at a $342 cost. That bid inflates the move on the way up and reverses the moment its premium compresses, and the reversal has started: NU7 shipped, and ZEC fell about 7% on long liquidations and outflows from the Grayscale Zcash Trust. The crowd is paying for the narrative. We are pricing the metrics.

2 Project Overview

2.1 What Zcash is, and why it ran

Zcash is a privacy focused cryptocurrency that shields transaction details using zero knowledge cryptography, with a fixed cap of 21 million coins that mirrors Bitcoin. In 2026 a forgotten 2016 project became a top ten asset. A United States inquiry closed with no action in January, Grayscale moved toward a Zcash exchange traded fund and framed privacy as essential in the age of AI, Multicoin Capital disclosed a position, shielded usage rose as wallets defaulted users into encrypted pools, and the NU7 upgrade cut block times. We take the bull case seriously. The engineering is real and the narrative is powerful. The question this panel would ask is the right one: has the valuation been earned. Figure 1 shows why we think the answer is no.

Figure 1 The reflexive run, and the profit it now sits on

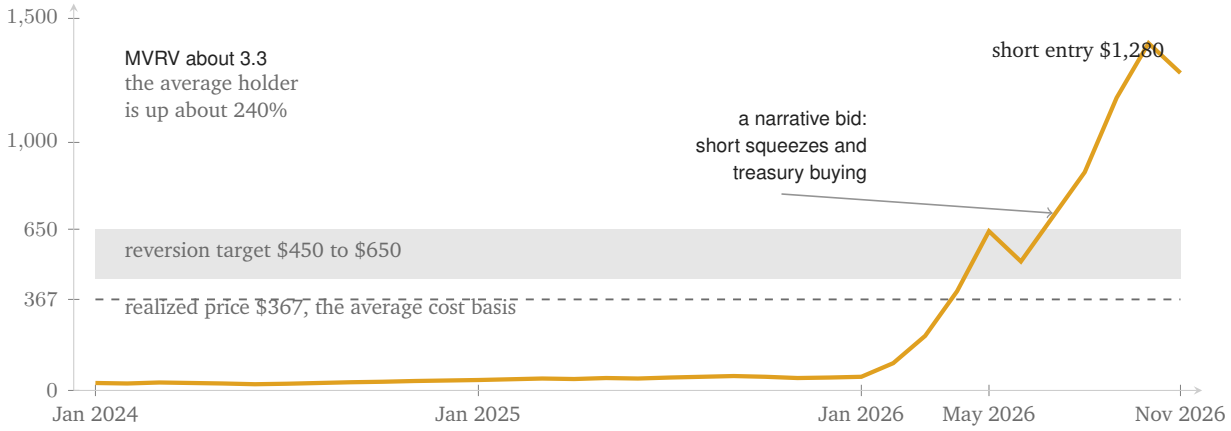


Figure 1. Zcash price, indicative monthly, USD. The shaded band is the reversion target; the dashed line is the onchain realized price. With price near three times the average cost basis, the typical holder sits on a large unrealized gain, a distribution setup. Source: CoinGecko, Messari, ZecStats.

2.2 It has not earned the valuation

Value in this market accrues to networks that produce economic activity, the exact lens behind the Blockworks real economic value framework and behind the Blockworks Zcash Token Holder Report, which describes the network as only entering its first stage of scale. ZEC generates negligible transaction fees against a $21.5B capitalization. Its roughly $1.5B of daily volume is exchange speculation, not private payment, while actual shielded activity runs near 5,000 transactions a day. Only about 29% of supply is ever shielded, so most holders pay a privacy premium for a feature they never use. The cleanest expression of the mispricing is Monero, which delivers mandatory privacy to its entire supply yet trades at about half of Zcash's market capitalization. The market is paying twice as much for the privacy asset that does less private payment.

2.3 The froth is measurable, and the bid is reflexive

This is not a judgment call, it is on the ledger, and Figure 1 shows it. The market value to realized value ratio sits near 3.3, with a realized price near $367. The holders most able to sell are the ones who inflated the move: a treasury vehicle at a $342 cost basis and the leveraged traders whose liquidations drove the squeeze. When a monetary premium is this reflexive and this far above the cost basis of its own buyers, it does not need a regulatory shock to reverse. It needs its marginal buyer to pause, which, with the last upgrade now shipped, is happening.

2.4 Fragility, token assessment, and risks

The soundness case is weaker than the price implies. In May 2026 researchers disclosed a counterfeiting vulnerability in the Orchard shielded pool that had gone undetected for about four years and could have minted unlimited coins; ZEC fell more than a third, and the network needed the Ironwood upgrade just to make its circulating supply independently verifiable. The entire founding team at the Electric Coin Company departed in January 2026 after a governance dispute. Issuance runs near 3.25% a year, close to $2.2 million a day that miners sell. For a token valued as digital gold, these are not small details.

Risks to the short, stated plainly.

- Momentum and reflexivity. ZEC is in a strong uptrend and short covering has repeatedly fueled it. We size small and lean on the metric gap and the rollover already underway rather than on calling the exact top.
- A United States exchange traded fund approval or renewed treasury buying would extend the mania. We weight this as a real adverse scenario.
- Rising shielded usage is genuine, but still a minority of supply. A regulatory overhang exists in some jurisdictions; we treat it as a secondary risk, not the thesis.

3 Investment Proposal

Position: short Zcash. Entry near $1,280. Horizon: 6 to 12 months. The thesis resolves as a narrative priced premium reverts toward the fundamentals, usage, and holder cost basis that support it. The two charts below frame the trade: what the asset is worth against its only real peer, and where a reversion leads.

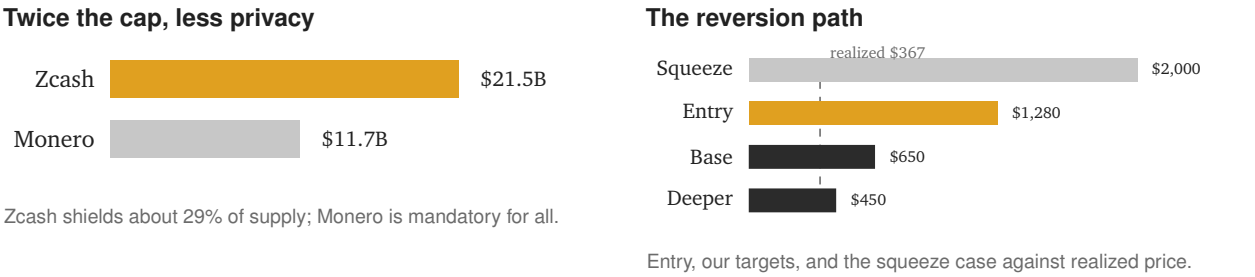


Figure 2. Left, market capitalization of the two privacy leaders. Right, the scenario prices: a base case near $650 is about 49% of downside, a deeper case near $450 about 65%, against a squeeze toward $2,000 weighted at 35%. Source: CoinGecko, Messari, ZecStats.

3.1 Valuation on the metrics that matter

We anchor on the three lenses this panel values. First, value versus usage: ZEC produces almost no economic throughput, so on any network value to activity measure it is among the most richly valued large assets in crypto, and the Blockworks Zcash report itself frames real adoption as early. Second, comparables: Monero does more real private payment for half the market capitalization, so Zcash carries a privacy premium of roughly two times. Third, holder economics: an MVRV near 3.3 and a realized price near $367 leave the marginal seller deeply in profit while issuance adds about $2.2 million of daily supply. A probability weighting of 20% deeper, 45% base, and 35% squeeze implies a modest positive expected value on a higher variance trade. Fundamentals, comparables, and flows point the same way.

3.2 Why this is the trade

Short sellers who fought this asset on momentum alone were run over, and we do not repeat that mistake. We are not shorting ZEC because it went up. We are shorting a measurable gap between price and fundamentals, the same gap an industry insider flagged when he said a big market cap does not mean a coin earned its place, with the reflexive buyer that created the premium now the most likely accelerant of its reversal.

4 Conclusion

Zcash is a genuinely improved network wrapped in a valuation its fundamentals do not support. The shielded usage is rising and the narrative has never been louder, but none of that underwrites a $21.5B premium on an asset that earns almost no economic value, shields under a third of its supply, trades at twice the capitalization of the privacy coin that does more private payment, and sits at an MVRV where the average holder is up more than twofold. The market is pricing a story, financial privacy in the age of AI, as if it were adoption. On the metrics that define value accrual, ZEC has not earned its place in the top ten, and its reflexive bid is already turning.

Recommendation: short Zcash over a 6 to 12 month horizon. Base target $650, about 49% downside. Deeper target $450. Acknowledged squeeze risk toward $2,000. The narrative is loud. The metrics are not. That gap is the trade.

+49%	+65%	(56%)
BASE, ZEC $650	DEEPER, ZEC $450	SQUEEZE, ZEC $2,000

Appendix

Metrics versus valuation

MEASURE	ZCASH, NOVEMBER 2026
Market capitalization	about $21.5B, rank 10
One year price change	more than 2,200%
MVRV ratio	about 3.3
Realized price (average cost basis)	about $367
Share of supply shielded	about 29%, privacy optional
Daily shielded transactions	about 5,000, up about 117% year over year
Daily trading volume	about $1.5B, mostly exchange speculation
Annual issuance	about 3.25%, close to $2.2M per day of new supply
Grayscale Zcash Trust assets	about $190M, small relative to the cap
Largest corporate holder	Cypherpunk, about 1.9% of supply, $342 cost

Zcash versus Monero

MEASURE	ZCASH	MONERO
Market capitalization	about $21.5B	about $11.7B
Privacy model	optional, zero knowledge	mandatory for all transactions
Share of supply private	about 29%	about 100%
Daily volume	about $1.5B	about $0.13B

Data note. Price, market capitalization, volume, and supply are as of early November 2026 from CoinGecko and Messari, cross referenced with ZecStats for shielded share and realized price, with the Blockworks Zcash Token Holder Report for network framing, and with Cypherpunk Technologies public filings for the treasury position. Shielded figures vary by source and by whether they measure share of supply or share of transactions. Issuance follows the Santala Research estimate of about 3.25% per year, above the 2% often quoted because the 2024 halving is measured against a smaller base.

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